Additional Requirement – Journal Entry Types and Manual Journal Workflow

1. Journal Entry Types

The system must support the following two main types of Journal Entries.

1.1 System-Generated Journal Entries

- Automatically generated when transactions are recorded through system modules such as Billing, Receipts, Payments, Purchases, and Expenses.
- The system must generate the required double-entry journals according to predefined accounting rules.
- Users must not need to enter the same transactions manually.

1.2 Manual Journal Entries

- Created by authorized users for accounting adjustments and transactions that are not automatically handled by the system.
- Users must be able to select Ledger Accounts and enter debit and credit amounts manually.
- Total Debit must equal Total Credit before the entry can be submitted.
- Manual Journal Entries must follow the approval and posting workflow defined below.

2. Manual Journal Entry Workflow

The system must provide a **Manual Journal Entries** function under **Accounting → Journal Entries**.

Step 1: Create Journal Entry

The user must enter:

- Effective Date
- Description / Narration
- Reference Number (if applicable)
- Ledger Accounts
- Debit and Credit Amounts
- Supporting Documents (if applicable)

The system must validate that total debit equals total credit.

Step 2: Save and Submit

- The user can save the entry as a Draft.
- Once completed, the user can submit it for approval.
- A submitted entry must be available to authorized approvers for review.

Step 3: Approve or Reject

The authorized approver must be able to review the journal details and choose one of the following actions:

- **Approve** – The journal becomes eligible for posting.
- **Reject** – The journal must not be posted. The approver must provide a rejection reason.

The system must record the approver, decision, date, time, and remarks.

Step 4: Post to General Ledger

- Only an **Approved** journal can be posted to the General Ledger.
- Posting must be performed by an authorized user.
- The system must update the relevant Ledger Accounts only when the journal is posted.
- Once posted, the journal must be marked as **Posted**.
- Posted journals must not be directly edited or deleted. Corrections must be made through an authorized adjustment or reversal process.

3. Journal Statuses

The system must support the following statuses:

- Draft
- Pending Approval
- Approved
- Rejected
- Posted

4. Accounting Controls and Audit Trail

- Only authorized users can create, approve, reject, and post journals according to their assigned permissions.
- The system must prevent users from approving their own journal entries where segregation of duties is required.

- Rejected entries must retain the rejection reason and must not be posted.
- Every journal must have a unique Journal Number and Transaction ID.
- All actions and status changes must be recorded in the audit trail.
- The system must prevent duplicate posting of the same journal.
- All posted journals must maintain balanced double-entry records.